

Outlook

From	leanne.adams@model.risk.keystonebank.co.za
To	analytics.retail@keystonebank.co.za
Cc	credit.risk.retail@keystonebank.co.za, cfo.office@keystonebank.co.za
Sent	Fri, 19 Nov 2021 08:20:00 -0000

Follow-up: do origination PD bands separate later outcomes?

Hi all,

I may be joining dots that do not belong together, so please challenge the premise.

Loan files contain origination PD, LGD and ECL fields, but the bank needs to know whether risk ordering survives into later repayment behaviour. Several teams are reporting more failed or retried activity than they expected, but they do not agree on the cause.

Could the answer be that missing or defaulted inputs create artificial separation? Or are we actually seeing that product and vintage explain more than the score? I also do not want us to miss the possibility that higher PD bands show more arrears.

This has returned because the previous answer was useful but not strong enough to become a standing rule. Use November 2021 as the new evidence point rather than recycling the earlier conclusion. The practical decision is whether recalibration, segmentation or data remediation is the next step. Please send a Power BI page with drill-through to a reproducible case list; I need the exceptions and counter-examples, not only an average.

Work from the latest closed loan files available by the request date, including affordability, pricing and origination risk fields; collections cases, promises to pay and recovery payments; transaction-level timestamps, channels, amounts, statuses and error context; debit-order mandates, collection dates, suspensions and cancellations. The data supports discrimination and outcome analysis, not a complete IFRS 9 validation without default definitions, macro scenarios and accounting policy.

Regards